

source contributions. I don't believe that business models based on priority giving succeed. There are only a few success models like that. The best example that can be thought of here is RedHat," explains Hariri.

The model of RedHat, as most of the industry *gurus* will agree, is complicated yet successful enough to require consulting, which is provided by the RedHat team itself as part of the business model. The chances of making the business model sustainable may decrease if the consulting is taken care of by a third party.

Open source, as Mukul points out, might be more of an enabler that helps get traction and build newer business models. What enables open source and new business models to sustain is the demand it gets from all verticals of business.

"When running a business, sometimes you need to subsidise what you are doing for the greater good. Otherwise, you could simply be considered a hobbyist," remarks Kabir Chandhoke.

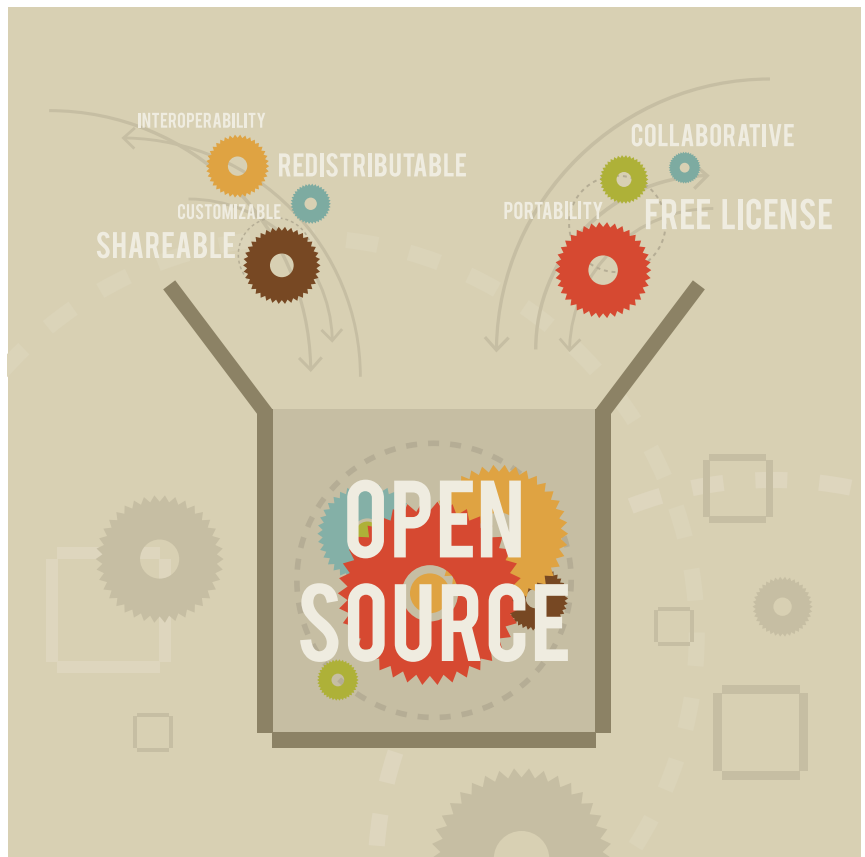
Market place: Enterprise or community

Enterprise and community are two popular business models that have started to become the talk of the town. The community edition refers to free usage of open source with limited capabilities, whereas the enterprise edition refers to a business model which offers a lot more features available at a cost.

"These two models are becoming very popular. On top of these you can also offer complimentary services such as certification, development services as well as support contracts," says Samir Doshi.

Whether someone refers to an enterprise, community or any other business model around open source, marketplace is one such model that joins all the dots together.

"Marketplace is definitely a brilliant business model as it adds



a lot of value to all the open source products. You have brilliant brains coming up with add-ons and applications. It is definitely a good one," adds Samir.

It is critical to understand the relationship between open source and cloud in order to understand business models better. The debate around whether cloud is making open source popular, or vice-versa, is something that the experts still lock horns about.

"If you think about the cloud itself, open source is what actually drove the cloud in the first place. Can you imagine the public clouds we have today and companies paying license fees for their operating systems?" asks Kabir Chandhoke. "We would never have achieved the scale of, say, AWS, had there been license fees for millions and millions of servers rolled out."

He is of the view that open source is the driving factor behind

public cloud. This might unearth another business model revolving around offering cloud services to consumers using open source.

"The reverse is also true as the public cloud is responsible for making open source projects popular. Another way public cloud has accelerated the monetisation of open source is through the SaaS route," adds Kabir.

Cloud and open source can enjoy a mutually beneficial relationship as long as the former does not start eating into the latter's business model. This situation arises when an open source product becomes tremendously popular.

"I definitely see evolution taking place in the partnership between cloud and open source. It will be interesting to see how this partnership continues to evolve with opportunities for both the community and the owners being compensated," explains Kabir.